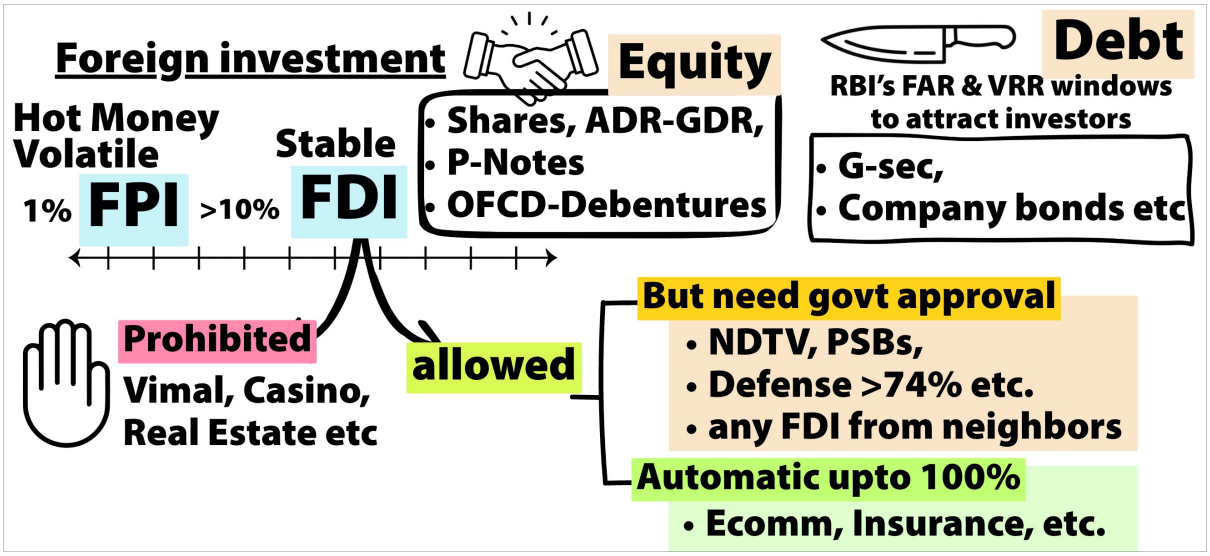
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31 : BoP → Capital Account

31.1 : BoP → Capital Account→ Investment→ FDI / FPI



31.1.1. Foreign Portfolio Investors (FPI: विदेशी पोर्टफोलियो निवेशक)

HSBC J.P.Morgan Morgan Stanley

⇒ It is a foreign entity registered @SEBI, and who buys upto 10% in equity / shares of an Indian Company. *[For Corporate Bonds and G-Sec these % are different.]*

⇒ Originally, these were called Foreign Institutional Investor (FII: विदेशी संस्थागत निवेशक) and Qualified Foreign Investors (QFIs), but in 2013 SEBI merged them all into a single category- FPI, based on the recommendations of K.M. Chandrasekhar committee.

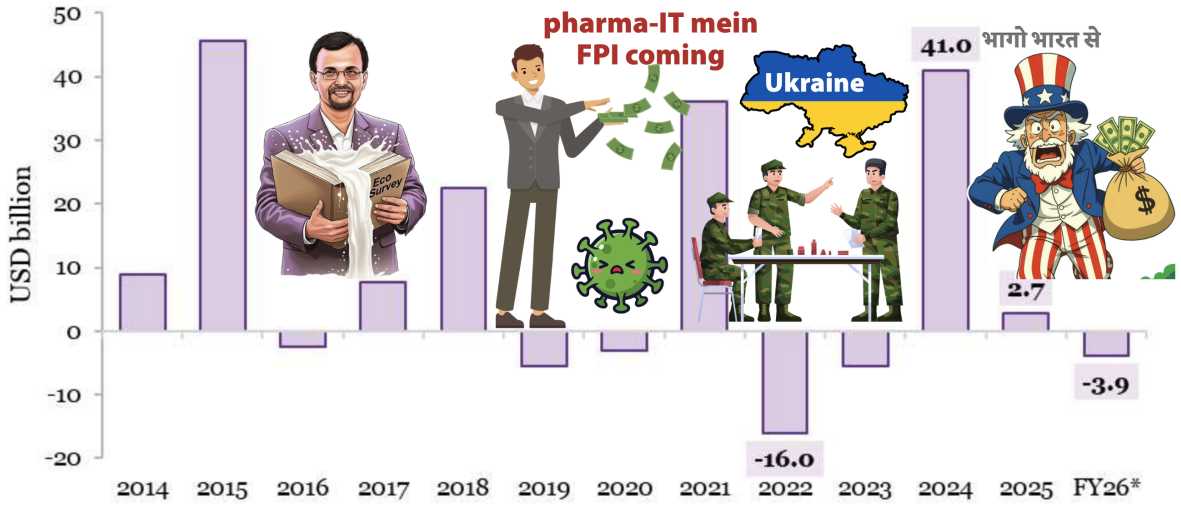
⇒ FPI's primary objective is make money from buying and selling of shares through the capital market / share market. They even help the SEBI-non-registered foreign investors by issuing them Participatory notes (P-Notes) *[Ref: 1C: SEBI handout].*

⇒ FPIs are not involved in the actual operations / production / management / business policy making of a company (unlike Walmart is for Flipkart). कंपनी का स्वयं संचालन में रुचि नहीं

⇒ If FPI investor is hopeful to get better returns in the other countries' share/bond market, he may quickly sell his Indian securities and run away. The flight of such money is called '**hot money**

(चलायमान मुद्रा)', It results into weakening of Indian Rupee and falling of Sensex.

31.1.1. 💳💳🎅🤝: 🔥💸 HOTMONEY EFFECT BY FPIS



2018-19 (Bn. USD)	(+) Inflow (Credit)	(-) Outflow (Debit)	NET inflow
FPI	+ 256.9	- 257.5	-0.6 (=outflow)
FDI	+ 64	- 34	+ 30
Foreign investment in India: भारत में विदेशी निवेश →			+ 30 (approx.)

⇒ From the above table you can see large amount of money comes via Foreign Portfolio Investors but because it is speculative and volatile in nature (HOT MONEY), so it does not stay for long in Indian market so in "NET" terms its lower than FDI. (विदेशी पोर्टफोलियो निवेशक सट्टेबाज उद्देश्य से स्थिर रूप से पैसा भारतीय बाजार में निवेश करते हैं और निकाल कर ले जाते हैं इसलिए ऐसा पैसा लंबी अवधि के लिए भारत में टिकता नहीं उसे हम हॉट मनी/ गरम मुद्रा कहते है)

⇒ 2018-19: there was net 'outflow' of FPIs (i.e. more FPI money left India than the amount of FPI money that came into India) which shows the Hot Money effect.

31.1.2. 💸🛫 FPI outflow- not our fault! हमारी गलती नहीं है — 📕ES26

- 2025–26 FPI outflows from India is due to USA policy, geopolitical problems, AI-boom, change in the interest rates & yields of USA Bonds,
- So this FPI outflow has nothing to do with India's own economic performance. हमारी कोई गलती नहीं है अगर विदेशी निवेशक भाग रहे हैं।

31.1.3. 💸🔪 FPI in Debt (Loans) ⊠ RBI's VRR & FAR windows

RBI's window aims to attract foreign investors in India's debt by easing technical compliance.

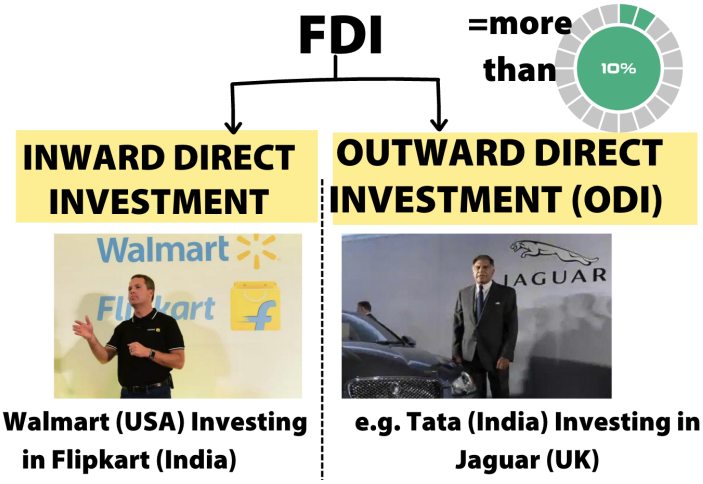
Route	features as per Economic Survey 2026
VRR (Voluntary Retention Route)	FPI must retain at least 75% of investment for a minimum of 3 years — reduces panic selling
FAR (Fully Accessible Route)	FPIs, NRIs, OCIs can invest freely in designated G-secs (FAR bonds). There is no maximum investment limit, no repatriation limits.

31.1.4. 🔁 FPI to FDI conversion - new rules (2024)

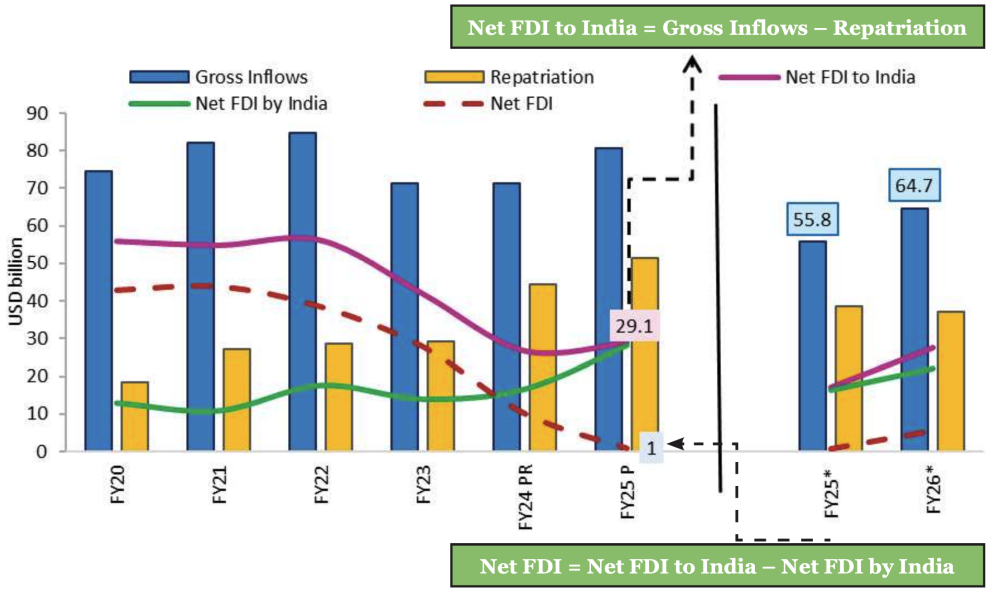
Before	After Reform
if foreigner bought 22% shares of Indian company, then • (A) entire 22% is FDI. OR • (B) if he wanted to remain only FPI (=10%), then he will have to sell off extra 12% to other investors.	• He can get it (22%) converted/classified as 10% FPI + 12% FDI^^. • So same foreigner can continue to be both FPI and FDI in same company.

- ^^ Provided he has approval from the government in specific sectors.
- **Benefit?** More flexibility to the foreign investor in entry & exit from company, Ease of doing business in how many technical rules he has to comply for SEBI & RBI etc. थोड़ा-पढ़ो-आगे-बढ़ो.

31.1.5. 💳💳🎅🤝 FDI: Inward vs Outward Direct Investment (ODI)



31.1.6. Gross vs NET FDI inflow (शुद्ध एफ़डीआई आमद, सकल एफ़डीआई आमद)



Gross FDI inflow = Total FDI incoming to India.

Net FDI inflows=Gross FDI Inflows -MINUS (Repatriation also called Disinvestment)

NET FDI = Net FDI = Net FDI to India (e.gWalmart2flipkart) - Net FDI by India (e.g. Tata2Jaguar)

- Here, Repatriation or Disinvestment = when non-resident exits from an Indian company.

- e.g. Jack Ma (China) sold his 28% ownership of Indian co. 'Bigbasket' to Tata (India).
- ✋ Don't confuse/mix up this 'Disinvestment' with Sarkaari Disinvestment in pillar2D.
- 📕ES24: NET FDI inflow declined bcoz foreigners repatriation ⇑ ⇑ bcoz of (1) they want to exit with profit (2) USA Fed Tapering (Ref: Pillar#3C)

31.1.7. 📘ES25: FDI performance

- Year 2000–2024: FDI inflows into India have surpassed the USD 1 trillion - proving India as a safe and significant global investment destination.
- 2024 onwards: FDI facing following challenges:
- (1) Economic Policy uncertainty (e.g. Trump), (2) geopolitical tensions (Ukraine, Palatine),
- (3) rising borrowing costs e.g. if foreigner wants to borrow money from USA or Japan, and then invested in India's FDI → such loans have become more expensive. Ref Fed Tapering (1A2) and Yen Carry Trade (1C).
- (4) repatriation (explained in previous section)

31.2 📕ES26 PHD ON FDI FALL JUSTIFICATION

Mru Notes: when data is negative, ES will 'over-justify' things. Hence given lengthy note below. I've kept it for any possible assertion reasoning Qs in UPSC. So plz bear with it.

31.2.1. 💰 India gives better returns on FDI than most emerging nations — 📕ES26

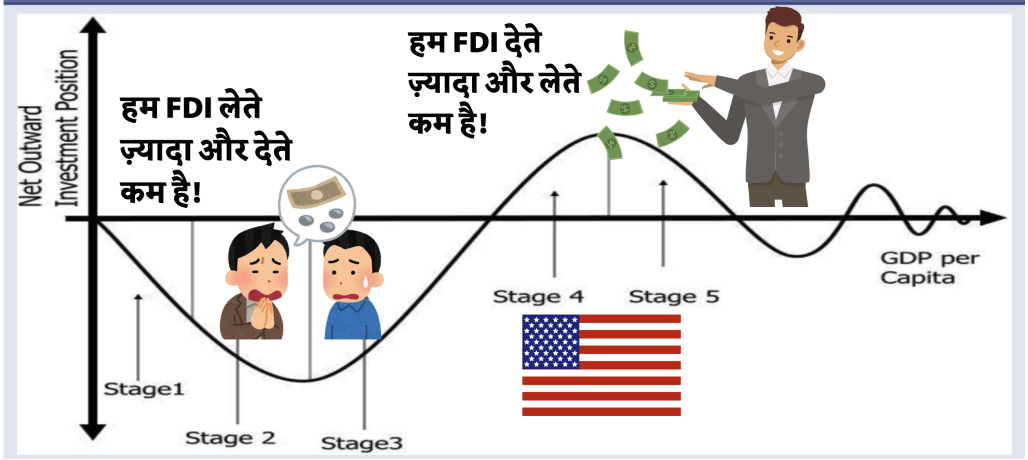
- Return on inward FDI = FDI equity income earned by Foreign Investor ÷ total inward FDI.
- Means how much profit foreign investors actually earn in India.
- India's average ~7.3% — ahead of Thailand (7%), Brazil (6.1%), Mexico S.Africa (4.3% each)

31.2.2. 💰 FDI: Global flows shifting from long-term infra to short term tech 📕ES26

- Post-COVID: FDI shifting away from capital-intensive long-gestation projects (e.g. power plants, ports) towards shorter-cycle technology-driven investments (e.g. AI, E-Vehicle, Drones)
- Greenfield digital investments (e.g. new data centres, cloud storage) — India attracted USD 114 bn in 2020–24, more than Malaysia, Singapore, Vietnam, Mexico, and even China (USD 24 bn)

31.2.3. 🇮🇳💸 FDI: Investment Development Path (IDP): 📕ES26

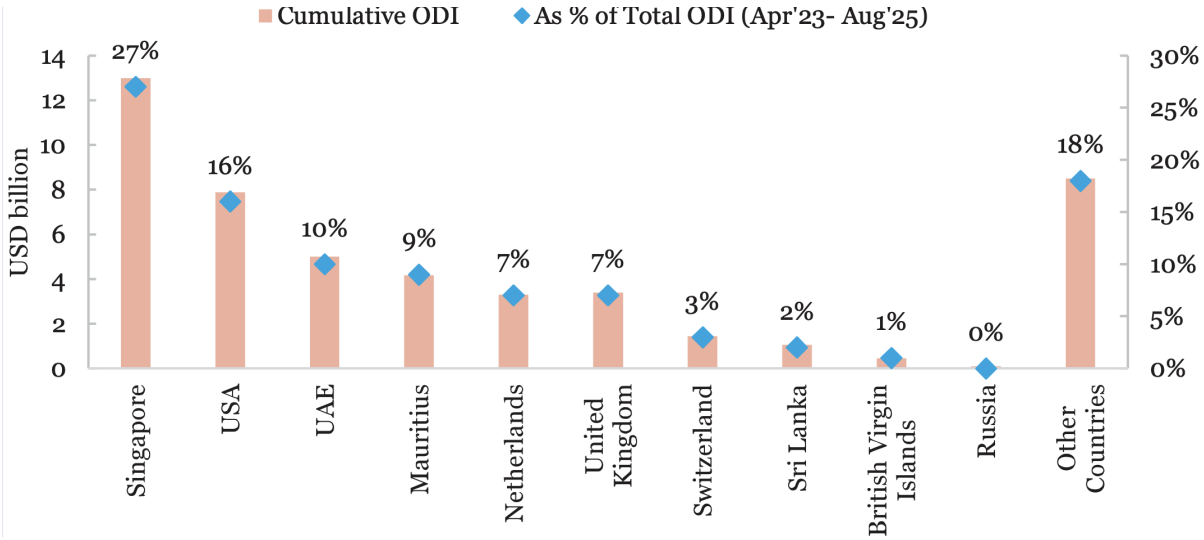
Chart IV. 19: Investment Development Path



IDP is a framework to explains how a country's FDI position changes as it develops:

Stage	Outward FDI	Example
1–2	Deeply negative (more inflows than outflows)	Poor Nations
3	Turning point — outflows begin to rise	India (current)
4–5	Positive (outflows > inflows)	Advance economies USA, Japan, Canada etc

31.2.4. Outward FDI from India has increased



Year	2024	2025
Indian firms investing in foreign companies	USD 14.4 bn	USD 23.6 bn

- Thus, despite global financial uncertainty, the Indian firms are doing internationalisation of their business- which is a positive sign- says ES26.
- However, thehindu says 56% of outward FDI investments went to **Tax Havens or Low Tax** nations like Singapore, Mauritius, UAE, Netherlands, UK, and Switzerland (2024–25). So, some mischief of round-tripping, may also be going on (Ref: Pillar#2B2 Black Money).

31.2.5. Outward FDI is bahut Mahaan! says ES26

- (i) Inward FDI = signal of investor confidence in the host country.
- (ii) Outward FDI (OFDI) = signal that domestic firms are becoming internationally competitive.
- Both (i) and (ii) reflect deeper economic integration — meaning both can grow together.
- Developing economies are no longer just receivers of FDI — they are increasingly becoming sender as well! e.g. Tata buys Jaguar Land Rover (UK)

अब तो विकासशील देश भी दे धनाधन FDI कर रहे है!	2000	2024
Third world nations' share in global FDI outflows	~7%	~30%

31.2.6. Does Outward-FDI benefit India? Short term no, Long term Yes

Timeframe	Effect on domestic investment
Short run	Outward FDI is bad bcoz capital goes out to foreign nation instead of investing at home country.

Long run	Outward FDI helps home nation as — firms reinvest profit into upgrading local factories, strengthen supply chains.

📕ES26 caution: If a nation has low skilled workers and weak institutions, then capital goes out to foreign nations, but positive spillovers don't come back home.

31.2.7. 🇮🇳💸 Outward FDI helps home country via 3 channels 📕ES26:

Channel	Benefit
1) Financial returns	Profits, dividends flow back home → ⇑ forex earnings
2) Intangible gains	Firms get exposed to new technology, management practices, quality standards, global customer preferences → knowledge flows back
3) Tangible gains	Acquires raw material, distribution networks abroad → deepens domestic production

However, these gains are not automatic — depends on domestic absorptive capacity: skills, R&D ecosystem, institutional quality etc.

31.2.8. 💳💳🎅🤝 Foreign Direct Investment LIMITs (FDI: प्रत्यक्ष विदेशी निवेश)

⇒ FDI is the (more than 10% equity / share) investment made by a foreign entity into an Indian company, with the objective to get involved in the management / production of that Indian company. भारतीय कंपनी के संचालन/ उत्पादन में शामिल होने के उद्देश्य से 10% या उससे ज्यादा शेयर खरीदना

⇒ (e.g. 2018: Walmart-USA bought 77% stakes in Flipkart @$16 billion.)

⇒ 🖐Foreign Investment is prohibited in atomic energy, railway operations (except Metro & infra dev.); Tobacco Products, Real Estate Business, Farm Houses, Chit Funds, Nidhi Companies, Betting Gambling Casino & Lottery.

⇒ For the remaining sectors, Foreign Investment is permitted either through:

💁‍♂️**Automatic Route:** स्वचालित मार्ग i.e. Foreign entity doesn't require Indian Govt's approval. OR

👴 **Government Route:** सरकारी मार्ग i.e. prior to investment, they've to get approval from the Govt of India's respective Administrative Ministry/ Department (+ Commerce Ministry).

31.1.2. 💳💳🎅🤝 FDI in India → Sector-wise as per 📕ES26

60% of inward FDI coming to services, computer software and hardware, trading, non-conventional energy, construction, and the automobile sector

Where is the latest data of 2024-25? they didn't give, I didn't search

31.2.9. 💳💳🎅🤝 Foreign Investment → 100% Automatic permitted in

✓ Agriculture, Animal Husbandry, Plantation Sector, Food Processing companies

✓ Asset Reconstruction Companies (ARC), Credit Information Companies, Core Investment Company, White Label ATM Operation and Other Financial Services

✓ Pharma & Biotechnology(Greenfield), Healthcare (Greenfield), Medical Devices

✓ Broadcast of non-NEWS TV Channels, Printing of scientific and technical magazines; Wholesale Trading, Single Brand Retail, E-Commerce (market-place)

- ✓ IT and Business process management (BPM); Township Construction, Housing, Infrastructure; Gems & Jewellery, Duty Free Shops, Tourism & Hospitality
- ✓ Leather, Textiles & Garments, Manufacturing, Capital Goods, Industrial Parks
- ✓ Mining and Exploration of metal and non-metal,
- ✓ Petroleum & Natural Gas, Chemicals, Coal & Lignite, Thermal & Renewable Energy
- ✓ Civil Aviation (**Selected services), Airports (Greenfield & Brownfield)
- ✓ Ports and Shipping, Railway Infrastructure, Roads & Highways
- ✓ 📡 Direct to Home (DTH) TV/Cable services e.g. Tatasky, DishTV
- ✓ **2019:** Insurance intermediaries (e.g. agents, brokers, surveyors, 3rd party admin etc)
- ✓ **2019:** Coal mining, coal sale & associated activities; Contract manufacturing.
- ✓ **2021:** ⛽ Public Sector Oil Gas Refineries e.g. Bharat Petroleum Corporation Ltd (BPCL). This is done to facilitate disinvestment/privatization via foreign companies participation. (Ref Pillar:2D)
- ✓ **2022:** State owned/public sector Life insurance corporation i.e. LIC: 20% FDI allowed.

31.2.10. 💳💳👳🤝 FOREIGN INVESTMENT → LIMITS IN OTHERS SECTORS

Sector → Foreign Investment limits कुछ किस्सों में स्वचालित मार्ग से. कुछ किस्सों में केंद्र सरकार की अनुमति लेनी जरूरी	Automatic upto?	👨✋With Govt approval?
Banking - Public Sector	N/A	20%
State owned/public sector Life insurance corporation i.e. LIC	20%	Not Required.
⇒ **Printing / Publishing newspaper, current affairs magazines;** ⇒ **News/Current Affairs through Digital Media**	N/A	26%
Broadcasting of News TV-channels, FM-Radio	N/A	49%
Multi Brand Retail Trading	N/A	51%
REITs / InvITs Infrastructure Companies	N/A	49%
Banking (Private Sector)	Upto 49%	>49 upto 74%
Telecom Services, Private Security Agencies, Air Transport Services	Upto 49%	ABOVE 49%
Insurance Company. Note: this limit is not applicable on LIC. [FDI: Pension sector % = Insurance sector %]	Upto 100% (ref pill1D1)	Not Required.
1) Defense (2020: FDI in Defense limit ↑ from 49% to 74%) **2) Brownfield projects in Pharma, Biotech, Healthcare**	Upto 74%	ABOVE 74%
Space Sector / Satellite operation	refer to next section	

For future updates, refer to https://www.investindia.gov.in/foreign-direct-investment

31.2.11. FDI in Space Sector (2024-Feb reforms)

Previously, Space/Satellite FDI permitted ONLY after Govt approval. But now liberalized:

Space Sector → Foreign Investment limits	Automatic upto?	👨✋With Govt approval?
Space-ports, launch vehicles	upto 49%	beyond 49%

Space Sector → Foreign Investment limits	Automatic upto?	👨✋With Govt approval?
Satellites-Manufacturing & Operation, Satellite Data Products and Ground Segment & User Segment.	upto 74%	beyond 74%
Manufacturing components/systems for satellites, ground segment and user segment.	upto 100%	no need

31.2.12. 💳💳👳🤝: 🖱️🛒 INDIA'S FDI RULES FOR E-COMMERCE

Definition? E-commerce means buying and selling of goods and services over digital & electronic network.

31.2.12.1 🚢 FDI in E-Commerce (Inventory) allowed for EXPORTERS (2026-Jul)

Matter	Before	After 2026-Jul Reform
E-commerce Inventory-based (platform owns stock, sells direct to consumer) e.g. Primeabgb store in Mumbai	FDI prohibited	Allowed BUT ONLY FOR for exporting goods manufactured/produced in India. (How much % exactly? is it automatic or govt approval? Newspapers have not clarified as of 26_sept_26)
E-Commerce in Marketplace: platform is only a digital facilitator connecting buyer-seller. e.g. Flipkart, Amazon)	100% FDI allowed via automatic route	same as left cell.

- To export an Indian product to the European Union, the seller has to struggle with a lot of paperwork, testing, and labelling, e.g. for EU Sanitary and Phytosanitary Measures (SPS), EU Deforestation Regulation (EUDR), Carbon Border Adjustment Mechanism (CBAM), EU's Digital Product Passport, etc.
- Indian MSMEs export goods priced $25–$1,000 — handicrafts, art, books, ready-made garments, gems, and jewelry. Such small sellers do not have the capital or the expert manpower to do this; consequently, only ~12,000 MSMEs currently manage e-commerce exports.
- Big platforms (Amazon, Flipkart) can absorb this compliance load at scale — something individual MSMEs can't.
- Therefore, allowing FDI in such e-commerce (inventory-model) will greatly boost India's export potential.

FAQ: What are E-Commerce Rules by Govt, various models like Dropshipping?? Ans. More in Pillar#4B: Services Sector

31.2.13. 📊UNCTAD's World Investment Report (विश्व निवेश रिपोर्ट)

⇒ United Nations Conference on Trade and Development (UNCTAD, HQ- Geneva Switzerland,

1964) → report: World Investment Report. Its data/ranking = Poor cost benefit for MCQ.

MCQ. Both Foreign Direct Investment (FDI) and Foreign Institutional Investor (FII) are related to investment in a country. Which one of the following statements best represents an important difference between the two?*(Asked in UPSC-Pre-2011)*

A. FII helps bring better management skills and technology, while FDI only brings in capital.

B. FII helps in increasing capital availability in general, while FDI only targets specific sectors.

C. FDI flows only into the secondary market, while FII targets primary market.

D. FII is considered to be more stable than FDI

MCQ. Find correct major characteristics with reference to FDI in India (Prelims-2020)

[a) It is the investment through capital instruments essentially in a listed company.

[b) It is largely non-debt creating capital flow.[c) It is the investment which involves debt-servicing.

[d) It is the investment made by foreign institutional investors in the Government securities.

Which of the following can be included in Foreign Direct Investments in India [Pre-2021]

1) Foreign Currency Convertible Bonds 2) Foreign Institutional investment with certain conditions

3) Global depository receipts (GDR) 4) Non-resident external deposits

Codes: a) 1, 2 and 3 b) 3 Only c) 2 and 4 d) 1 and 4

MCQ. An Indian buys shares in a British car company. This will be reflected in: (CAPF-2023)

(a) Balance of Trade, but not in Balance of Payments. (b) Balance of Payments, but not in Balance of Trade.

(c) both Balance of Payments and Balance of Trade. (d) neither Balance of Payments nor Balance of Trade.

31.2 YEARBOOK: MINISTRY OF COMMERCE AND INDUSTRY (वाणिज्य और उद्योग मंत्रालय):

This ministry looks after Internal and External Trade, WTO, Dumping, SEZ, FDI & Intellectual property rights (IPR) related issues.

<List not exhaustive- मंत्रालय में और भी संस्थाएं हो सकती है लेकिन सभी की सूची मैंने नहीं दी >

Depts.	• 1. Department of Commerce (वाणिज्य विभाग) • 2. Department for Promotion of Industry and Internal Trade (DPIIT उद्योग संवर्द्धन और आंतरिक व्यापार विभाग)
Attached offices संलग्न कार्यालय	• Directorate General of Foreign Trade (DGFT: विदेश व्यापार महानिदेशालय) for promotion of foreign trade. → he issues Importer Exporter Code (IEC) unique-id number to bizmen engaged in foreign trade. HQ- Delhi. Implement WTO agreements in India, decides 'rules of origin', 'anti-dumping issues'. (Ref Pillar#3C for more.) • Directorate General of Trade Remedies (DGTR) to impose anti-dumping duty on foreign products - as per the policy/rules made by DGFT. • Directorate General of Commercial Intelligence and Statistics • Economic Adviser to DPIIT- responsible for publishing Wholesale Price Index (WPI)- more in Pillar4C: Inflation. थोक महँगाई सूचकांक
Companies	⇒ Export Credit Guarantee Corporation of India (ECGC: *NIRVIC scheme-walle*) ⇒ MMTC ltd. (Gold-coin-walle). Although 2020-Jan approved for Strategic disinvestment [भविष्य में इसका निजीकरण हो जाना है] ⇒ National Investment Promotion and Facilitation Agency of India. Commonly known as "**Invest India**": A 'not for profit' company by commerce ministry + FICCI + NASSCOM + other in 2009. **Note:** FICCI and NASSCOM are not-for-profit associations made by Bizmen, mainly to lobby/highlight demands to Govt. The

	current shareholding pattern of Invest India is 51 % of Industry Associations (i.e. 17% each of FICCI, CII & NASSCOM) and the remaining 49% of Central and 19 State Governments.
Statuto. bodies स्वायत्त निकाय/ संस्थाए	1. Agricultural and Processed Food Products Export Development Authority (APEDA: New Delhi). (1) APEDA helping Kashmir valley start-ups to export high-value Kashmir Saffron (GI-tag) to Middle East, EU, and North America. (2) Basmati-GI protection (3) Monitor Sugar imports. 2. Marine Products Exports Development Authority (MPEDA). HQ: Kochi Kerala. 3. Statutory Commodity Boards → Tea Board, Spices Board, Tobacco Board, Coffee Board, Rubber Board. **Controversy**? Some newspapers suggesting these boards may be closed / merged. So farmers are opposing. 4. Export Inspection Council (EIC): details given in separate section. scroll down.
Autonomous	Indian Institute of Foreign Trade (IIFT, Delhi)- a "Deemed University" Offers MBA,PHD and other programs to students.
Other	**Export Promotion Council:** - These Councils are registered as non-profit organizations under the Companies Act/ Societies Registration Act. - Total 14 such councils looking after sectors such as Chemicals, Plastics, Pharmaceuticals, Cosmetics, Leather, Sports Goods, Gem and Jewellery Exports, Cashew, Oil Seeds etc.

31.2.14.🔎 Commerce Ministry: Export Inspection Council (EIC)

- **Boss?** Commerce ministry
- **Type?** Statutory body under Export (Quality Control and Inspection) Act, 1963
- **HQ in Delhi.** Its field offices of Export Inspection Agencies (EIAs) @Mumbai, Kolkata, Kochi, Delhi and Chennai
- **Function?** ensures quality and safety of products exported from India.

EIC certificates	description / examples
Compulsory for	fish, dairy, honey, egg products, meat, Gelatine, crushed bones, Ossein (collagen of bones)
Voluntary for	(1) food items not mentioned in above list. (2) non-food items

🚩👶**FAQ: What is attached office / autonomous body? Ans.** See pillar2's 1st lecture.

🔠 **MCQ. APEDA successfully completed India's first-ever commercial shipments of premium Sangola and Bhagwa pomegranates to _ _ _ _** (GPSC-2025)

(A) USA (B) Australia (C) UAE (D) Denmark

Note: Ans B. But, it is not possible to memorise such random GK better to skip.

🔠❓ **MCQ. Find correct about "Tea Board" in India:**

1. The Tea Board is a statutory body.
2. It is a regulatory body attached to the Ministry of Agriculture and Farmers Welfare.
3. The Tea Board's Head Office is situated in Bengaluru.
4. The Board has overseas offices at Dubai and Moscow.

Codes: (a) 1 and 3 (b) 2 and 4 (c) 3 and 4 (d) 1 and 4

31.2.1. 💼 Budget-2020 : Medieval dictionary GK about Foreign Trade

In Indus script- "Takara Kolimi=Tin smithery", " Sreni "= Guild ," Sethi"= wholesale merchant, "Poddar"= Assayer of metal into treasury. **(Medieval dictionary GK asked in PCQ so memorize.)**

31.2.15. 🕵♂ (2019) DIPP becomes DPIIT (विभाग का नाम बदला गया)

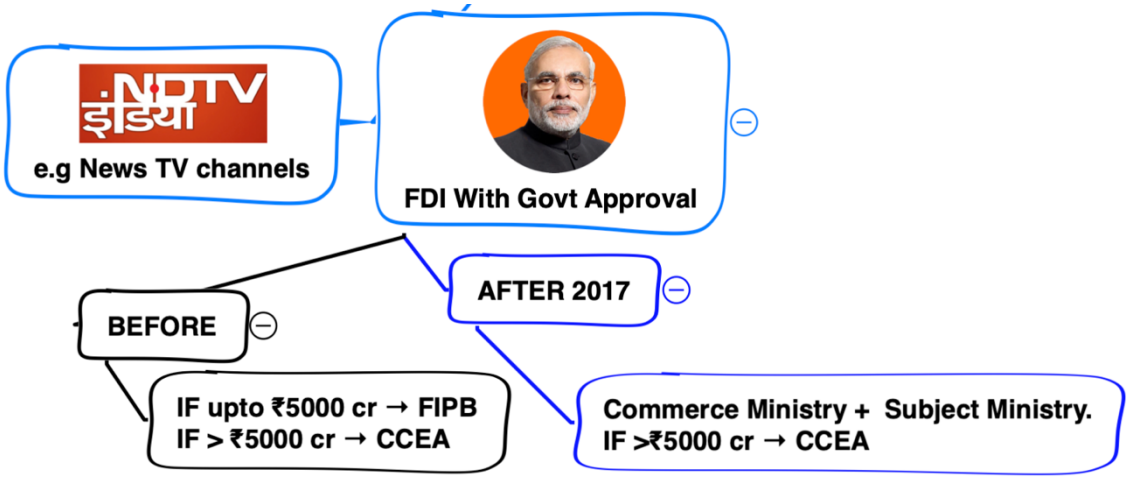
⇒ 💼Interim-Budget- 2019: Govt renamed Commerce Ministry's Department of Industrial Policy and Promotion (DIPP: औद्योगिक नीति और संवर्धन विभाग) → Department for Promotion of Industry and Internal Trade (DPIIT: उद्योग और आंतरिक व्यापार को बढ़ावा देने के लिए विभाग).

⇒ It'll function under Ministry of Commerce and Industry

⇒ **DPIIT's Objectives?** Promotion of internal trade, including retail trade; welfare of traders and their employees; matters relating to ease of doing business; and startups.

31.2.16. 🕵 (2017) FIPB Abolished (विदेशी निवेश अनुमति की संस्था को हटाया गया)

- CCEA = Cabinet Committee on Economic Affairs (CCEA)
- Foreign Investment Promotion Board (FIPB: विदेशी निवेश संवर्धन बोर्ड)- abolished in 2017.
- After 2017: Individual ministries/departments are empowered to clear FDI proposals in consultation with Commerce Ministry. e.g. FDI in Pendrive factory → MEITY + Commerce Ministry. (if proposal above ₹5kcr →CCEA)
- However, Only Home Ministry will clear FDI proposals coming from **Pakistan and Bangladesh**; and FDI proposals for private security agencies, small arms manufacturing.



31.2.17. 🇨🇳🔐 PN3 - Chinese FDI – Corona mein tight then liberal (2026-Mar)

Year	event
2020	COVID-initial phase. Share price of Indian company fell. Fears of "opportunistic takeovers" by Chinese companies. So, Government introduced **Press Note 3 (PN3) 2020**: any FDI from a **Land Bordering Country (LBC)** needs prior **government approval** — not automatic e.g. even for E-commerce market-place.
2020–24	Chinese FDI share in India ⇓ from 2% to ~0.27%.

2025	Trump Tariff war. Indian Exports down, incoming FDI down.
2026-Mar	Govt amends PN3 Note- liberalizing the entry of FDI from **Land Bordering Country (LBC)** including FDI from China. More details below 👇

- **Fast-track processing within 60 days:** for capital goods, electronic capital goods, electronic components, polysilicon, ingot-wafer, rare earth magnets etc.
- If LBC party (e.g Chinese company) **already has 10% invested,** and wants to increase it up to 49%, then treated as 'automatic approval'.
- Majority shareholding & management control must remain with resident Indian at all times.

31.2.18. 🏭 FDI — New SOP with 12 weeks deadline (2026-May)

- Vietnam clears FDI in 15 days, Malaysia in 3–10 days, China in 15–30 days
- 2026: FDI inflow declining in India. So DPIIT updated the SOP - Standard operating procedure.

	Old SOP (2017)	New SOP (2026)
Max processing time	10 weeks but in reality took very long time- read next row	12 weeks
if a dept/org kept silence instead of saying yes/no to the file-proposal.	file will be delayed.	Silence = will be treated as **no objection** → file will be automatically approved after 12 weeks.
Process	Paper-based	Fully digital portal
Boss?	DPIIT	Same
Large investments	**>₹5,000 cr** = CCEA approval required	Same
Home Ministry clearance req for	FDI from Pak, Bangladesh	from all the land bordering countries.
Home Ministry clearance req for	private security agencies, small arms mfg.	- same, and also added broadcasting, telecom, space, defence, civil aviation, titanium mining to the list. - But time-limit of 60 days **(8.5 weeks)** for priority sectors — capital goods, electronics, polysilicon, batteries, rare-earth magnets.

31.2.19. 🕴️ Related Topic: Cabinet Committees

Table 1: For more PHD you may refer- https://cabsec.gov.in/writereaddata/cabinetcommittees/english/1_Upload_3017.pdf

Cabinet Committee on	Boss*	Notes
1) Appointments नियुक्ति विषयक केबिनेट समिति	👨 PM	finalizes the name for top level appointments like Cabinet Secretary, Indian ambassadors to each nation etc. This Committee has only 2 persons- Modi & Shah.

Cabinet Committee on	Boss*	Notes
2) Accommodation आवास	HM	Giving house allocation to politicians, top officials
3) Economic Affairs आर्थिक मामले	👴 PM	FDI approval, Agri-MSP approval (Pillar#4A), Bank merger,disinvestment etc grand things
4) Parliamentary Affairs संसदीय कार्य	Defense Minister	Defense Minister Rajnath Singh made boss for his acumen in parliamentary matters
5) Political Affairs, 6) Security 5) राजनीतिक मामले, 6) सुरक्षा	👴 PM	Self-explanatory. If PM is in a cabinet Committee, he automatically becomes its chairman
7) Investment and Growth 8) Employment and Skill Development	👴 PM	These two are new committee formed after 2019's General Election. 7) निवेश और विकास 8) रोजगार और कौशल विकास

31.3 🐯🎅🦁 INTERNATIONAL FINANCIAL SERVICES CENTRE (IFSC) / GIFT CITY

- ✓ International Financial Services Centre (IFSC) is a place having high concentration of financial institutions such as Banks, Stock Markets, Insurance firms, Fund Managers, FinTech firms, etc.,
- ✓ A nation will not apply its local taxation and investment norms in its IFSCs (अंतर्राष्ट्रीय वित्तीय सेवा केंद्र:) E.g. UAE → Dubai's IFSC centre: 100% FDI allowed in any sector. 100% Capital Account Convertibility (i.e.Invest & pullout money as & when you please in any currency of your choice!), 0% income tax for 50 years. DTAA with most countries. Independent judiciary not bound with local laws. Quick Visa etc. (करो में भारी छूट, स्थानिक कानूनों से मुक्ति)
- ✓ 🤩**Result?** Such place becomes a hub / base of operation for international financial companies and investment bankers. It also creates trickle down benefits for local people e.g. Chartered Accountants, Hoteliers, Golf club owners, Taxi operators etc.
- ✓ London, New York, Hong Kong and Singapore to have also grown by setting up such centres. Taking their example, India too has set up Gujarat International Finance Tec (GIFT) city international financial services centre (IFSC) near Ahmedabad. (2015)
- ✓ Although GIFT city not yet attracted good number of international financial companies because the tax benefits are not as great as Singapore, Hong Kong etc.
- ✓ This '**greenfield'** GIFT city was developed by 50:50 Joint venture of (the infamous) IL&FS + Gujarat Urban Development Company Limited (GUDCL). Together they were responsible for the construction, electricity, water, sanitation and other responsibilities of running this city. But post IL&FS crisis, Govt of Gujarat has bought IL&FS's 50% shareholding.

⇒ 💼**Budget-2019:** Companies operating from GIFT-city-IFSC given 100% exemption from Corporation Tax for 10 years

⇒ 2024: While Gujarat has liquor prohibition but it is lifted in GIFT city. (शराब-बंधी में छूट)

31.3.1. 🐯🎅🦁: 🕵🏽 IFSC Authority Act, 2019

- ✓ IFSC (such as GIFT city) are setup under the SEZ Act.
- ✓ IFSC get relief / exemption in the Indian tax laws. Further, RBI, SEBI, IRDAI and other regulators' norms also apply in relaxed manner. E.g. Bank branches in GIFT-city-IFSC are exempted from RBI's CRR-SLR-PSL etc. norms.

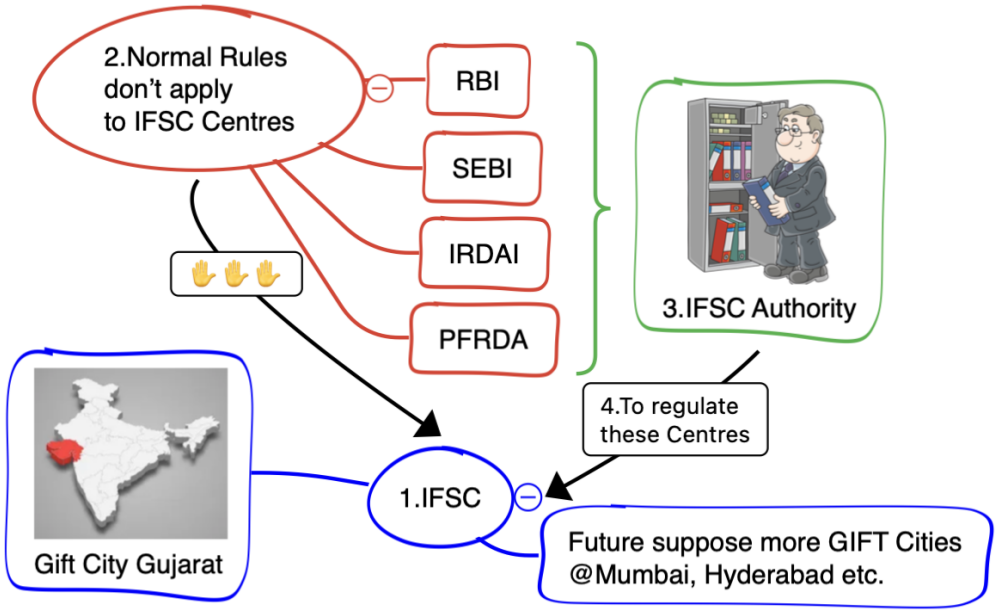
✓ 2019's Act aim to setup a statutory International Financial Services Centres Authority (अंतर्राष्ट्रीय वित्तीय सेवा केंद्र प्राधिकरण), with

- One Chairperson+ One member each nominated from RBI,SEBI, IRDAI, PFRDA
- + few other members from Finance ministry etc
- Tenure? 3 years. Re-appointment? Yes, possible.

✓ The IFSC Authority will regulate all financial services, products, institutions in International Financial Services Centers of India.

⇒ **2020-April:** Government announced its headquarter will be at **Gandhinagar, Gujarat**. (Since Gandhinagar is the only place with an IFSC at present, i.e. GIFT City)

⇒ 😢**Controversy?** Maharashtra political outfits demanding HQ should be in Mumbai.



31.3.2. 🏫 Foreign University @ Gift City

⇒ **2023:** Deakin University (Australia) has become the 1st foreign university to to set up an International Branch Campus (IBC) in GIFT City, Gujarat.

⇒ Such foreign Uni in GIFT city will not be regulated by India's **University Grants Commission** (UGC). They'll be regulted by IFSC Authority.

31.3.3. Data Embassy @Gift city in 👛Budget-2023

⇒ A data embassy is a place where a country stores its important data in a secure location in another country. Benefit? To protect sensitive data from disasters or cyber-attacks.

⇒ 👛Budget-2023: we'll encourage setting up Data Embassy @Gift city.

31.2.2. 🐯🎅🦁: 🕴️ Variable Capital Companies (VCC)@Gift city

⇒ VCC is a special type of company dealing with several collective investment schemes e.g. investing in shares/bonds/real estate/startups, Acting as FPI in other nations etc

⇒ VCC has greater operational flexibility than traditional Mutual Fund, Hedge Funds, REITS, Limited Liability Partnerships (LLPs), Private limited companies etc (REF Pillar1C).

⇒ VCCs are prevalent in Singapore, UK, Luxembourg and other global financial centres.

⇒ 2021: International Financial Services Centres Authority setup K.P. Krishnan committee.

Krishnan recommended allowing them (VCCs) in India.

✋Beyond this, VCC pe PHD NOT REQUIRED

31.4 🤲🔪 BoP → Capital → Debt (Loans & Non Resident Bank deposits)

NET inflow in (Bn. USD) →निवल आमद	2018-19
Foreign Investment (FPI & FDI)	+30
✓ External borrowing: Pvt. Sector borrowing >Govt. ✓ Further, majority of India's external debt is in U$D currency.	+16
Non-Residents' Deposits in Indian Banks [Foreign Currency Non-Resident FCNR accounts] & other misc. components of Capital Account	+7
NET balance in Capital Account (approx.)	+ 54

31.4.1. 💰 NRI deposits to India are rising says 📘ES25:

2024-Non-Resident Indian (NRI) deposits have increased due to weaker rupee, bcoz it attracts NRIs to park their (dollar) savings in India. (Ref: Pillar#3B for Currency exchange.)

31.2.3. 🤲🔪 External Debt : Composition Govt vs Pvt. 📕ES26: (बाह्य/विदेशी ऋण)

🤖✍🏻	Million dollars	% Share
🦁 Public/Govt Sovereign Debt	$148,154	21.4%
🤵🏻Private/Non-Sovereign Debt	$543,445	78.6% (MAJORITY)
Total External Debt	$691,598	100%

31.2.4. 🤲🔪External Debt : currency wise as per 📙ES26

Year	Dollar	Indian Rupee	Jap Yen	SDR	Euro	Pound	Others	Total %
2014	61.1	21.8	5.0	6.8	3.3	1.1	0.9	100
2024	54.1	31.3	5.8	5.3	2.8	0.3	0.4	100
2025	54.2	31.0	6.2↑	4.6↓	3.2	0.2	0.5	100

🚩👶 FAQ: In pillar 2D according to ES most of our foreign debt is in rupee currency but in pillar 3 we studied majority of India's external debt is in U$D currency. how can this happen?

Ans. **Bhai dhyaan se padho!!** Pillar2D Talked about **only govt loans.** Here pill3 talking about loans taken Both by **(A) govt plus ++ (B) private sector (Adani/Ambani etc).** And since pvt parties borrowed more quantity of foreign money than Indian govt, so data will change.

- 🙋‍♀️FAQ2: in above table, the total is 93% and not 100% Ans remaining 7%, maybe other currency. Economic survey did not clarify. I did not become Sherlock Holmes to find out.

31.4.2. 🤲🔪 BoP → Capital Account → Misc. Concept: NIIP

Net International Investment Position (NIIP)= value of overseas assets owned by a nation minus the value of domestic assets owned by foreigners.

⇒ 🧐 **Positive** NIIP value = creditor nation (लेनदार राष्ट्र)

⇒ 😭 **Negative** value = debtor nation (कर्जदार देश). USA highest, India at 8th place (in 2018)

CATEGORY	BILLION $ AS PER 📙ES24

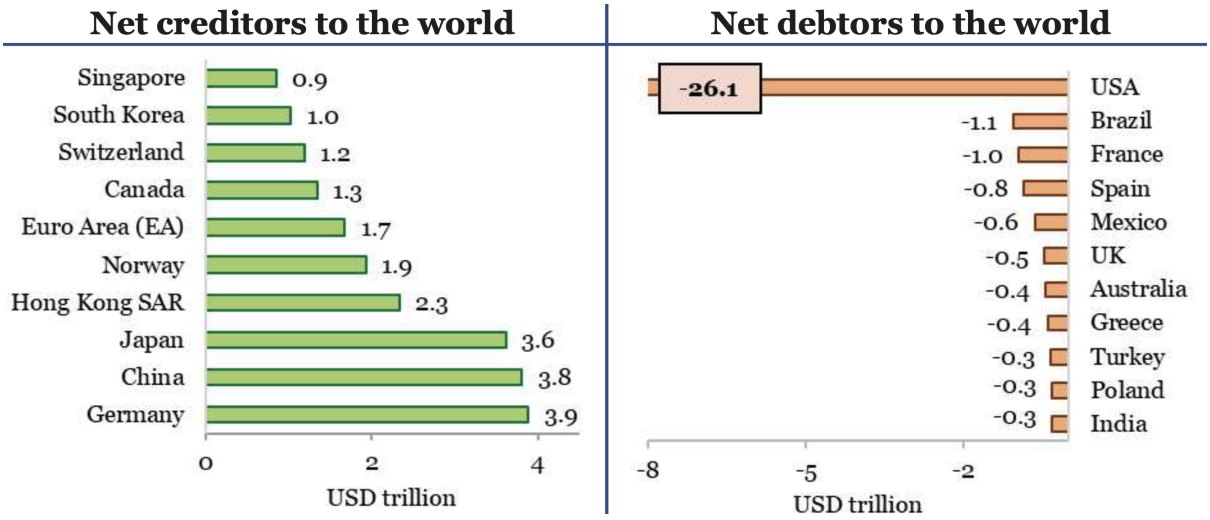
CATEGORY	BILLION $ AS PER ES24
Sr1. Indian residents' overseas financial assets	(+) $1028 billion
Sr2. Foreigners' investment in India	(minus) $1,390 billion
Net claims of non-residents on India = Sr1-Sr2	= (minus) $362 billion.

Note that the result is negative, indicating that non-residents have a net claim on India.

31.2.5. Asset liability ratio (सम्पति-देयता अनुपात)

⇒ In above table divide sr1/sr2 = 74% = It is less than <100%. Means India owns lesser foreign assets compared to liabilities to foreigners.

⇒ ES26: ratio improved from 74% (2024) to 77.5% (2025) indicating rising resilience.



31.2.6. BoP → Capital Account → Misc.: VOSTRO, NOSTRO, FCNR, NRE, NRO

Refer to Pillar3B: Currency Exchange, internationalization of Rupee Topic.

31.2.7. BoP: External Debt overhang Problem - ES21: (ऋण की अधिकता)

There is a "Laffer Curve" like relationship between foreign debt and GDP growth:

⇒ Up to a certain level, more External borrowing → ↑ economic growth (Because that foreign money can be used for expanding the local factories, jobs, production).

⇒ Because too much debt = then all of your new (monthly/yearly) income will be gone in repaying the previous loan installments. This phenomena is known as **debt overhang**.

- Debt overhang destroys enthusiasm and motivation to work harder.
- Debt overhang increases the chances of loan default e.g. Argentina, Ecuador, Belize, Lebanon, Suriname and Zambia – have defaulted on their sovereign debt in Corona.

But Economic Survey says India is in safe position.

MCQ. Find correct statement(s): (Pre-2019)

(1) Most of India's external debt is owed by govt entities. (2) All of India's external debt is denominated in US dollars.

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

***MCQ. Which of the following constitute Capital Account?** (UPSC-Pre-2013)*

1. Foreign Loans. 2. Foreign Direct Investment. 3. Private Remittances. 4. Portfolio Investment.

Answer codes: (a) 1, 2 and 3 (b) 1, 2 and 4 (c) 2, 3 and 4 (d) 1, 3 and 4

***Next HDT**: 3B- BoP, Currency Exchange, SDR, Forex, NEER, REER*